

Financial Market Inflation Expectations

—— 11/2023



Contents

I.	SUMMARY	3
II.	INFLATION	4
III.	GROSS DOMESTIC PRODUCT	5
IV.	INTEREST RATES – 2W REPO, PRIBOR, IRS	6
V.	EXCHANGE RATE	8
VI.	NOMINAL WAGES	9

I. SUMMARY

In November, 16 domestic and two foreign analysts sent in their contributions to the regular survey of financial market inflation expectations. The survey results reveal that their inflation expectations were unchanged at both the one-year and three-year horizons. By contrast, their view on the performance of the domestic economy is noticeably less optimistic. At the same time, the number of respondents who expect key interest rates to fall at the next monetary policy meeting increased by two. The expected koruna exchange rate path shifted slightly to weaker levels and the expected nominal wage growth rate was revised downwards for both this year and the next.

DOMESTIC ANALYSTS	I.	II.	III.	IV.	V.	VI.	VII.	VIII.	IX.	X.	XI.	XII.
Jiří Polanský, Česká spořitelna	+	+		+	+	+	+	+	+	+	+	+
David Marek, Deloitte Czech Republic	+	+	+	+	+	+	+	+	+	+	+	+
Jan Vejmělek, Komerční banka	+	+	+	+	+	+	+	+	+	+	+	+
Patrik Rožumberský, Unicredit Global Research	+	+	+	+	+	+	+	+	+	+	+	+
Helena Horská, Vratislav Zámeš, Raiffeisenbank	+	+	+	+	+	+	+	+	+	+	+	+
Petr Dufek, Banka CREDITAS	+	+	+	+	+	+	+	+	+	+	+	+
Petr Sklenář, J&T Banka	+	+	+	+	+	+	+	+	+	+	+	+
Radomír Jách, Generali Investments CEE	+	+	+	+	+	+	+	+	+	+	+	+
Jaromír Šindel, Citi	+		+			+	+	+	+	+	+	+
Kamil Kovář, Moody's Analytics	+	+	+		+	+		+	+	+	+	+
Jan Kudláček, Tomáš Lébl, Patrick Vyroubal, UNIQA	+	+	+	+	+	+	+	+	+	+	+	+
Jakub Seidler, ČBA	+	+	+	+	+	+	+		+	+	+	+
Lukáš Kovanda, Trinity Bank	+	+	+	+	+	+	+	+	+	+	+	+
Michal Šoltés, RoklenFin	+	+	+	+	+	+	+	+	+	+	+	+
Martin Janičko, MND	+	+	+	+	+	+	+	+	+	+	+	+
Jan Bureš, ČSOB		+	+	+	+	+	+		+		+	+
FOREIGN ANALYSTS												
Basak Edizgil, Goldman Sachs		+	+	+	+		+		+	+	+	+
Sili Tian, The Economist Intelligence Unit	+	+		+	+		+	+		+		
Jose A. Cerveira, Henry Burdon, JP Morgan	+	+	+	+	+	+	+	+	+	+	+	+

We would like to thank everyone who contributed to this survey of financial market inflation expectations.

Prague, 23 November 2023

II. INFLATION

FORECAST FOR Y/Y CPI GROWTH

(%)

November 2023	CPI	
	1Y	3Y
minimum	1.9	1.9
average	2.8	2.3
maximum	4.2	3.5

1Y AND 3Y FORECAST FOR CPI GROWTH

(%)

Date of Prediction	ANALYSTS		CNB (%)
	1Y	3Y	1Y
XI.22	7.3	2.5	4Q: 4.2
I.23	4.8	2.6	
II.23	3.8	2.7	1Q: 2.3
IV.23	3.5	2.6	
VI.23	3.1	2.5	2Q: 2.1
IX.23	2.7	2.4	3Q: 1.9
X.23	2.8	2.3	
XI.23	2.8	2.3	4Q: 2.8

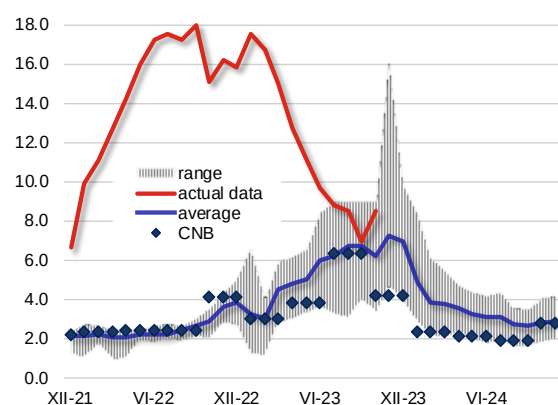
Annual inflation increased to 8.5% in October. However, this was a purely technical effect caused mainly by last year's reflection of the energy savings tariff in electricity prices. According to the CZSO, inflation would only have been 5.8% if adjusted for the impact of the energy savings tariff. In month-on-month terms, consumer prices rose by 0.1%, with prices of goods flat overall and prices of services rising by 0.2%. As the technical acceleration in inflation was expected by the analysts, the overall message of October inflation was not a big surprise. Their average forecasts in our survey remained unchanged. They remain at 2.8% at the one-year horizon and 2.3% at the three-year horizon. The range of the individual one-year forecasts was unchanged owing to slight increases in both the minimum and maximum values. It widened slightly at the three-year horizon owing to a decline in the minimum value.

The analysts are naturally aware that the pick-up in inflation is not linked to cyclical developments in the economy. By contrast, they conclude from the only moderate month-on-month growth that anti-inflationary pressures are still at work in the economy. According to some estimates, annual inflation is also expected to decline gradually until the end of the year as both domestic demand and economic growth remain subdued. Inflation is expected to fall sharply at the start of next year after the impact of the energy savings tariff fades. There are estimates that it will fall to around 3%. Inflation could then fluctuate below this level in the course of next year. A rise in the unemployment rate, an only gradual recovery in domestic demand, expected fiscal consolidation and higher CNB rates will foster lower inflation. One of the significant uncertainties, however, is the planned rise in administered electricity prices next year and its potential secondary effects leaking through to prices of goods and services.

The CNB's autumn forecast expects consumer prices to rise by 2.8% year on year in 2024 Q4.

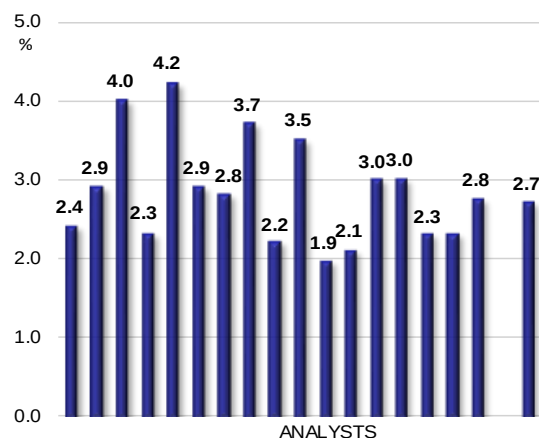
CONSUMER PRICE INDEX

ACTUAL DATA AND 1Y PREDICTIONS OF ANALYSTS (AVERAGE) AND OF CNB (%)



CONSUMER PRICE INDEX AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS (%)



III. GROSS DOMESTIC PRODUCT

FORECAST FOR GDP GROWTH

(%)

November 2023	current year	current+ 1Y
minimum	-0.5	0.8
average	-0.3	1.8
maximum	0.0	2.5

FORECAST FOR GDP GROWTH

(%)

Date of Prediction	current year	current+1Y
XI.22	2.4	0.0
I.23	0.0	2.4
II.23	0.2	2.6
IV.23	0.1	2.6
VI.23	0.3	2.5
IX.23	0.1	2.3
X.23	0.0	2.1
XI.23	-0.3	1.8

Since the previous survey, the CZSO has published a preliminary estimate of GDP growth in Q3, which is lower than the estimates. According to published data, the Czech economy contracted by 0.3% quarter on quarter and even 0.6% year on year. The overall decline was due mainly to external demand, while domestic demand stagnated. The year-on-year value was due to lower household final consumption expenditure and lower gross capital formation.

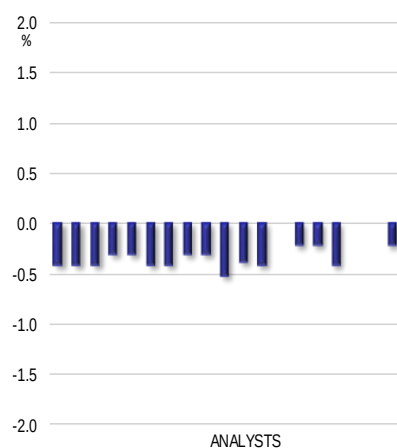
According to the analysts, the published figures confirm that the Czech economy is continuing to contract, and at a faster rate than expected. As the individual components have not yet been published, the only thing that can be done is to look for the main cause of the weak performance of the domestic economy in the cooling of the German economy, which may be affected by weak Chinese demand and the generally poor sentiment of German companies and households. As a result, the analysts revised their forecasts down by 0.3 percentage point on average for both this year and the next. No major recovery is expected this year due to low household consumption and, moreover, a cooling in the euro area. GDP is therefore projected to fall by 0.3% for 2023 as a whole. In 2024, thanks to the rebound in domestic consumption and the strengthening of external demand, the economy is expected to recover, but only by 1.8%. However, weak data from Germany increase the risk of a worse scenario than outlined above.

The range of the individual estimates for this year remains unchanged owing to a decline in both the maximum and minimum values. The forecast range for next year narrowed owing to a decline in the maximum value.

According to the CNB's autumn forecast, GDP will decline by 0.4% in 2023 and grow by 1.2% in 2024.

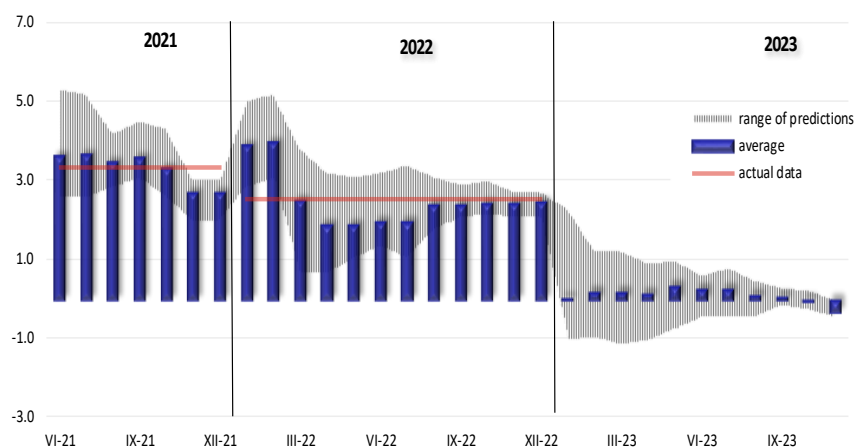
INDIVIDUAL 1Y PREDICTIONS

OUTLOOK FOR THIS YEAR



GDP GROWTH AT END OF YEAR

AVERAGE AND RANGE OF PREDICTIONS



IV. INTEREST RATES – 2W REPO, PRIBOR, IRS

FORECASTS: MINIMUM, AVERAGE AND MAXIMUM 2W REPO, 12M PRIBOR, 5Y AND 10Y IRS

(%)

November 2023	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
minimum	6.75	3.25	5.50	3.50	4.00	3.10	4.00	2.86
average	6.83	4.38	6.40	4.25	4.30	3.62	4.23	3.64
maximum	7.00	5.00	7.35	5.00	4.74	4.30	4.60	4.50

FORECAST FOR 2W REPO, 12M PRIBOR AND 5Y AND 10Y IRS

(%)

Date of Prediction	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
XI.22	7.01	6.00	7.43	5.99	5.43	4.80	4.97	4.67
I.23	7.00	5.85	7.27	5.69	4.73	4.26	4.32	4.07
II.23	7.00	5.75	7.20	5.49	4.83	4.29	4.40	4.06
IV.23	7.00	5.56	7.18	5.34	4.98	4.22	4.53	4.09
VI.23	7.00	5.43	7.14	5.29	4.67	4.05	4.27	3.88
IX.23	7.00	4.90	6.89	4.70	4.42	3.74	4.17	3.61
X.23	6.94	4.78	6.64	4.58	4.38	3.67	4.30	3.58
XI.23	6.83	4.38	6.40	4.25	4.30	3.62	4.23	3.64

ACTUAL INDICATOR VALUES AS OF FORECAST DEADLINE

(%)

	2W repo rate	12M PRIBOR	5Y IRS	10Y IRS
15.11.	7.00	6.48	4.24	4.21

The number of analysts who expect key interest rates to fall by 25 bp to 6.75% at the next CNB Bank Board meeting rose to six. This is two more than in October. The argument for easing monetary policy is recently published adverse macroeconomic data signalling worse-than-expected future developments. However, a clearly dominant majority (i.e. the remaining 12 out of 18 analysts) believe that the CNB's key rates will not change even in December, meaning the 2W repo rate will remain at 7.00% at least until February. This may be supported by the hawkish tone of the minutes of the last CNB Bank Board meeting, where upside risks to inflation were primarily discussed. Moreover, the majority of the Bank Board is not worried about the negative impact of higher rates on the real economy. In addition, according to some commentaries, some of the necessary easing of monetary conditions could have been provided by the weakening of the koruna. However, according to some statements, the decision-making of the Bank Board members could still be influenced by other macroeconomic aspects, such as the publication of wage growth in the third quarter of this year or the outcome of wage negotiations, including for education and healthcare.

ANALYSTS' FORECAST – 2W REPO RATE LEVEL IN 1Y

(%)

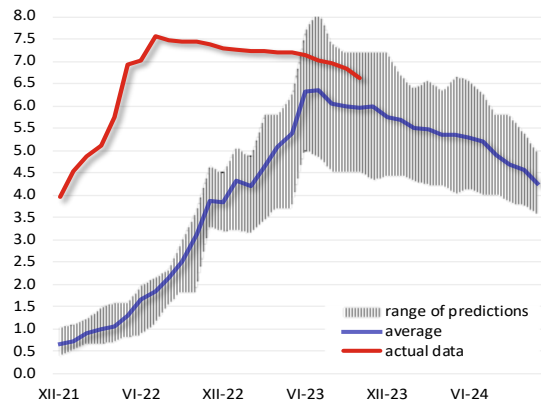
2W repo rate level in 1Y (%)	3.25	3.50	3.75	4.00	4.25	4.5	4.75	5.00	5.25	5.50
number of analysts - current survey	1	0	2	3	1	5	3	3	0	0
-previous survey	0	1	0	2	2	3	2	2	3	0

Market interest rates have fallen since the cut-off date of the previous survey. Their forecasts in our survey also mostly shifted downwards, with larger movements apparent in interbank market reference rates (PRIBOR) than in interest rate derivatives (IRS). The fall in market rates should continue, in line with the anticipated lowering of key rates, as the one-year forecasts are clearly below their monthly counterparts. In the case of the one-year IRS forecasts, the 10Y rate outlook is just above 5Y this time and the slope of the theoretical future IRS curve thus turns slightly positive.

The CNB's autumn forecast implies a 2W repo rate of 3.4% in 2024 Q4.

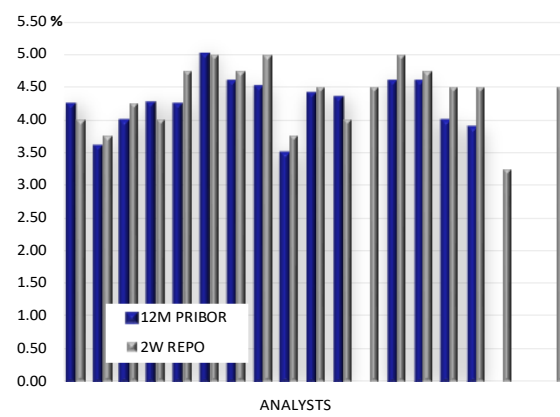
12M PRIBOR AT 1Y

ACTUAL DATA, AVERAGE AND RANGE OF PREDICTIONS



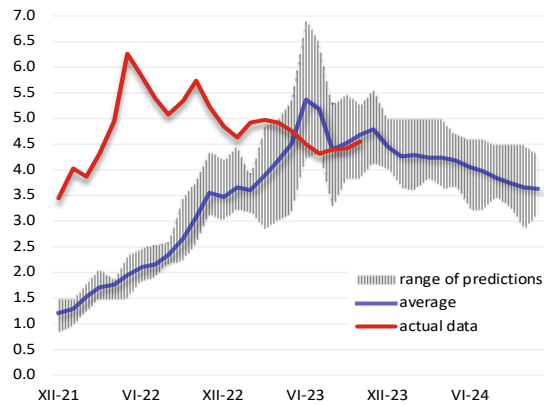
2W REPO AND 12M PRIBOR AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



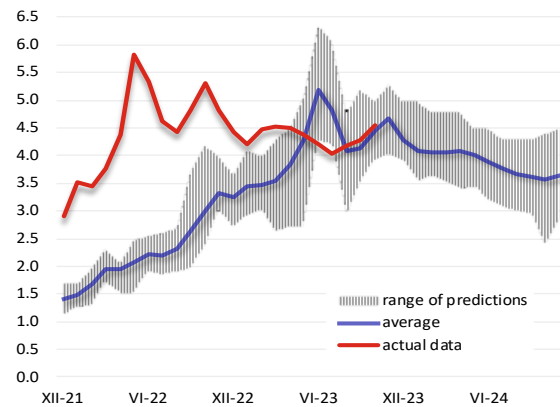
5Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



10Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



V. EXCHANGE RATE

1M AND 1Y EXCHANGE RATE FORECAST

	1M	1Y
XI.22	24.50	24.88
I.23	24.12	24.39
II.23	23.84	24.33
IV.23	23.47	24.07
VI.23	23.74	23.94
IX.23	24.16	24.16
X.23	24.57	24.41
XI.23	24.63	24.58

EXCHANGE RATE FORECAST

November 2023	EUR/CZK	
	1M	1Y
minimum	24.30	23.25
average	24.63	24.58
maximum	24.90	26.25

ACTUAL EUR/CZK AS OF FORECAST DEADLINE

15.11.	24.51
--------	-------

The koruna exchange rate on the foreign exchange market has strengthened slightly since the October survey, moving from CZK 24.67 to CZK 24.51 to the euro. This appreciation was largely thanks to the November decision by the CNB Bank Board, on the basis of which key interest rates in the Czech Republic remained unchanged. Although the koruna strengthened compared to the previous survey, the analysts' average forecast shifted to a weaker level at both the one-month and one-year horizons. It is expected to be CZK 24.63 to the euro at the one-month horizon and CZK 24.58 to the euro at the one-year horizon.

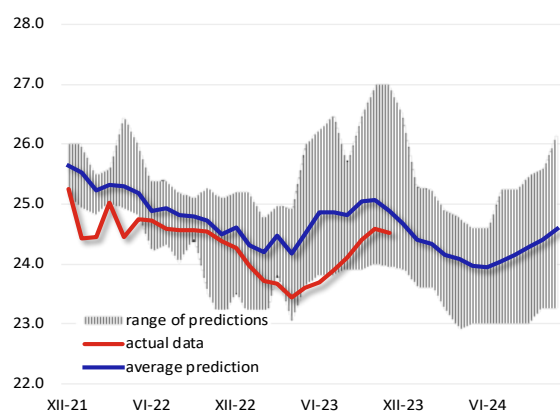
Some commentaries suggest that factors in favour of a weaker koruna may prevail until the middle of next year. A narrowing of the interest rate differential and the persisting overvaluation of the koruna exchange rate are mentioned as examples. Next year, however, these depreciation pressures could be outweighed by an expected slowdown in domestic inflation, a recovery of the domestic economy and a potential weakening of the dollar. A later and slower reduction in the CNB repo rate than expected by the market could also play a role.

Risks that may affect the koruna exchange rate include a slower recovery of the domestic economy accompanied by an earlier or faster reduction in the CNB's key interest rates. There are also risks related to a possible escalation of the geopolitical situation or the evolution of the dollar exchange rate, which could hold its strong positions for a longer period of time in the event of favourable developments in the US economy. The analysts do not expect the renewed sale of yields on foreign exchange reserves to have any significant impact on the koruna exchange rate.

The CNB's autumn forecast expects a koruna exchange rate of CZK 24.4/EUR in 2024 Q4.

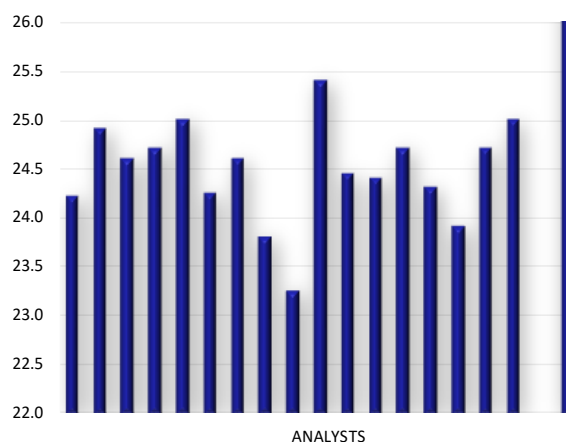
EUR/CZK

ACTUAL DATA, 1Y PREDICTIONS AND THEIR RANGE



EUR/CZK AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



VI. NOMINAL WAGES

FORECAST FOR NOMINAL WAGE GROWTH

(%)

November 2023	current year	current+1Y
minimum	7.7	5.1
average	8.1	6.5
maximum	8.7	8.0

FORECAST FOR NOMINAL WAGE GROWTH

(%)

Date of Prediction	current year	current+1Y
XI.22	6.6	7.6
I.23	8.1	5.5
II.23	7.9	5.9
IV.23	8.2	6.0
VI.23	8.7	6.5
IX.23	8.8	6.8
X.23	8.2	6.6
XI.23	8.1	6.5

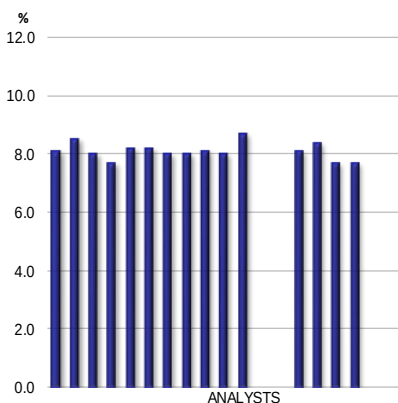
According to the Labour Office of the Czech Republic, the unemployment rate fell by 0.1 percentage point month on month to 3.5% in October. This is in line with the unemployment rate one year ago. Despite the persisting low unemployment rate on the Czech labour market, nominal wage growth is relatively moderate according to the analysts (as also indicated by the data for Q2).

Given the latest developments, the analysts again slightly revised expected wage growth for this year and the next. In both cases, they lowered the expected rate by 0.1 percentage point. Wages are thus expected to grow by 8.1% on average in 2023, with growth slowing to 6.5% next year. However, given the level of inflation, real wage growth will remain negative year on year, even though real wages are already rising in quarter-on-quarter terms. And the same trend is anticipated for the rest of this year. Overall, real wages are likely to fall further in 2023, albeit significantly less than last year.

According to the CNB's autumn forecast, nominal wages are expected to rise by 7.5% in 2023 and by 6.7% in 2024.

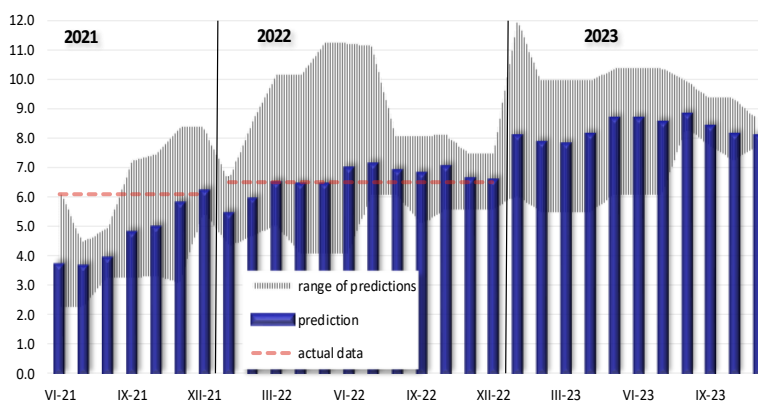
INDIVIDUAL 1Y PREDICTIONS

OUTLOOK FOR THIS YEAR



NOMINAL WAGE GROWTH

END OF CURRENT YEAR: AVERAGE AND RANGE OF PREDICTIONS (%)



Issued by:
CZECH NATIONAL BANK
Na Příkopě 28
115 03 Praha 1
Czech Republic

Contact:
COMMUNICATIONS DIVISION
GENERAL SECRETARIAT
Tel.: +420 224 413 112
www.cnb.cz